Negligent Misstatement

English law | Study guide | Reliance, disclaimers and professional services

1. From careless advice to legal responsibility

Pure economic loss is generally restricted in ordinary negligence claims, but it is not subject to an absolute ban. Hedley Byrne & Co Ltd v Heller & Partners Ltd [1964] AC 465 recognised possible liability for careless information where the relationship justifies responsibility. The bank nevertheless won that case because of its disclaimer.

For an ordinary advice claim, consider whether the defendant assumed responsibility, knew or ought to have known of the relevant use of the information, and whether the claimant actually and reasonably relied on it. A foreseeable financial loss or an incorrect statement alone does not establish liability.

> Ask: who supplied the advice, to whom, for what purpose and on what basis? Then examine reasonable care, actual reliance, causation and whether the loss falls within the duty's scope.

2. Two developments explored in this lesson

Smith v Eric S Bush: a mortgage valuer's disclaimer did not automatically prevent a duty to the house purchaser; statutory reasonableness controls mattered. **Henderson v Merrett Syndicates:** assumption of responsibility can concern professional services as well as information, and tort duties may coexist with contractual duties.

3. Vocabulary

Valuation: an assessment of market value; it is not necessarily a full structural survey. **Exclusion:** wording seeking to remove or restrict liability. **Privity:** the general rule that contractual rights belong to the parties. **Concurrent liability:** potential liability in both contract and tort for the same conduct.

Scope: England and Wales. The cases concern duties to use reasonable care, not guarantees of accurate predictions, sound property or profitable underwriting.

Smith v Eric S Bush

1. Facts: a mortgage valuation and unsafe chimneys

Mrs Smith wanted to buy a modest house. Abbey National Building Society instructed Eric S Bush, a firm of surveyors, to value it for mortgage purposes. She paid the valuation fee through the society and received the report, which indicated that no essential repairs were required. She relied on it when buying the property.

Chimney breasts had been removed, leaving the upper chimney structure inadequately supported. The inspecting surveyor noticed the removal but failed to check the support above. About eighteen months after purchase, chimney brickwork collapsed through the roof. This is not accurately described as a simple subsidence case.

2. Why was there a duty to the purchaser?

Although the society instructed the surveyor, reliance by a purchaser of this type of property was known to be likely. A duty to exercise reasonable skill and care could therefore be owed to Mrs Smith. Its scope remained connected to the valuation undertaken; a mortgage valuation does not become a complete structural survey.

3. Why did the disclaimer fail?

The documents sought to deny responsibility to the purchaser. The House of Lords treated this as an exclusion subject to the **Unfair Contract Terms Act 1977**. It failed the reasonableness requirement in these circumstances. Relevant considerations included bargaining power, the practical availability and cost of independent advice, the task’s difficulty and the ability to insure or bear the risk.

Mrs Smith won: the surveyors’ appeal was dismissed, leaving the award of £4,379.97 including interest in place. The case was heard with Harris v Wyre Forest District Council, a separate claim. Do not merge their facts.

> A disclaimer is not a universal escape from negligence. Equally, Smith does not mean that every disclaimer is unreasonable. Analyse the wording, transaction and applicable legislation.

Smith v Eric S Bush [1990] 1 AC 831. Judgment: 20 April 1989; 1990 is the report year. Today consumer terms/notices may fall under the Consumer Rights Act 2015 rather than UCTA; check the applicable regime.

Henderson v Merrett

1. Facts: Lloyd’s Names and underwriting agents

Lloyd’s underwriting members, called **Names**, alleged negligent management of insurance underwriting. These were financial-risk participants, not simply shareholders in a normal investment fund. Professional agents performed the underwriting functions for their benefit.

A **direct Name** dealt with a combined agent performing members’ and managing-agent roles. An **indirect Name** had a members’ agent that appointed a separate managing agent through a sub-agency arrangement. The contractual chain created questions about who could sue whom.

2. Responsibility for services, not only words

The House of Lords recognised that managing agents could owe duties in tort to both direct and indirect Names. They had undertaken skilled professional services on which the Names depended. The Hedley Byrne principle was therefore not confined to inaccurate statements: responsibility for performing services with reasonable care could also protect against pure economic loss.

3. Contract and tort can operate together

A contract does not automatically exclude a duty in tort. Concurrent duties may arise, but the contractual framework matters: tort should not impose an obligation inconsistent with what the parties validly agreed. Nor does concurrency allow double compensation for the same loss.

In Henderson the relevant contractual arrangements did not exclude the tort duty. **The agents’ appeals were dismissed and the Names succeeded on the preliminary legal issues.** This established duties and their relationship with the contracts, rather than finally proving every alleged negligent act or awarding all underwriting losses.

> Why the distinction mattered: indirect Names sought a direct tort claim against managing agents; some direct Names also sought the benefit of the different accrual rules for tort. Tort does not automatically give a longer period in every case.

Henderson v Merrett Syndicates Ltd [1995] 2 AC 145; [1994] UKHL 5. Judgment: 25 July 1994.
“Concurrent” means coexisting legal bases, not compensation twice.

Check Your Understanding

1. Does pure economic loss always fail in negligence?
Answer: No. Recognised responsibility-based duties can protect economic interests. The particular duty and its scope must be established.

2. What defect did the surveyor miss in Smith?
Answer: The inadequate support of the upper chimney structure after removal of chimney breasts; later chimney brickwork collapsed.

3. Why was Mrs Smith protected despite the society's instruction?
Answer: The surveyor knew purchaser reliance was likely in this setting. A duty could extend to her within the valuation's scope.

4. Why did the disclaimer not protect the surveyors?
Answer: It did not satisfy UCTA's reasonableness requirement on the facts. The decision did not invalidate all disclaimers.

5. Is Henderson confined to negligent statements?
Answer: No. It concerns assumption of responsibility for skilled professional services, including underwriting functions.

6. Does a contract automatically remove tort liability?
Answer: No. Both may coexist, subject to the contractual framework. A claimant cannot recover twice for the same loss.

7. Did Henderson finally award all the Names' losses?
Answer: No. The appeals concerned preliminary legal issues about duties and the contractual structure; breach and losses still required determination.

> Exam sequence: task and purpose → responsibility and protected claimant → duty's scope → breach, reliance where relevant, causation and loss → disclaimer/statute → contractual framework and any concurrent claim.

Sources

Based on the supplied transcript, correcting names, dates, building facts and procedural outcomes. Primary judgments: Smith [1990] 1 AC 831; Henderson [1995] 2 AC 145, especially pp 180-182 and 193-194. Background: Hedley Byrne [1964] AC 465. Legislation: UCTA 1977, ss 2, 11 and 13; CRA 2015, s 62.